

SENATE
STATE OF MINNESOTA
NINETY-FIRST SESSION

S.F. No. 2415

(SENATE AUTHORS: ANDERSON, P.)		
DATE	D-PG	OFFICIAL STATUS
03/13/2019	862	Introduction and first reading
		Referred to Higher Education Finance and Policy
04/11/2019	3001a	Comm report: To pass as amended and re-refer to Finance
04/23/2019	3113a	Comm report: To pass as amended
	3115	Second reading
04/24/2019	3182a	Special Order: Amended
	3185	Third reading Passed
04/30/2019	4055	Returned from House with amendment
	4055	Senate not concur, conference committee of 5 requested
05/01/2019	4169	Senate conferees Anderson, P.; Draheim; Jensen; Relph; Clausen
	4198	House conferees Bernardy; Pryor; Lien; Klevorn; Nornes
05/20/2019	4524c	Conference committee report, delete everything
		Senate adopted CC report and repassed bill
	4569	Third reading
	4685	House adopted SCC report and repassed bill
		Presentment date 05/22/2019
	4687	Governor's action Approval 05/22/2019
	4688	Secretary of State Chapter 64 05/22/2019
		Effective date Various Dates
		See also HF13, First Special Session (Revisor's bill)

1.1

A bill for an act

1.2

relating to higher education; providing funding and policy changes for the Office

1.3

of Higher Education, the Minnesota State Colleges and Universities, and the

1.4

University of Minnesota; modifying the state grant formula; requiring a report;

1.5

appropriating money; amending Minnesota Statutes 2018, sections 13.322,

1.6

subdivision 3; 127A.70, subdivision 2; 135A.15, subdivision 2; 136A.101,

1.7

subdivision 5a; 136A.121, subdivision 6; 136A.1215, subdivision 4; 136A.1275,

1.8

subdivisions 2, 3; 136A.15, subdivision 8; 136A.16, subdivisions 1, 2, 5, 8, 9;

1.9

136A.162; 136A.1701, subdivision 7; 136A.1789, subdivisions 1, 3, 5; 136A.64,

1.10

subdivisions 1, 5, by adding a subdivision; 136A.645; 136A.646; 136A.672, by

1.11

adding a subdivision; 136A.821, by adding subdivisions; 136A.822, subdivisions

1.12

6, 10, 12; 136A.8295, by adding subdivisions; 136A.87; 136F.20, by adding a

1.13

subdivision; 136F.38; Laws 2017, chapter 89, article 1, section 2, subdivision 29;

1.14

proposing coding for new law in Minnesota Statutes, chapters 136A; 136F;

1.15

repealing Minnesota Statutes 2018, sections 136A.15, subdivisions 2, 7; 136A.1701,

1.16

subdivision 12.

1.17

BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MINNESOTA:

1.18

ARTICLE 1

1.19

HIGHER EDUCATION APPROPRIATIONS

1.20

Section 1. APPROPRIATIONS.

1.21

The sums shown in the columns marked "Appropriations" are appropriated to the agencies

1.22

and for the purposes specified in this article. The appropriations are from the general fund,

1.23

or another named fund, and are available for the fiscal years indicated for each purpose.

1.24

The figures "2020" and "2021" used in this article mean that the appropriations listed under

1.25

them are available for the fiscal year ending June 30, 2020, or June 30, 2021, respectively.

1.26

"The first year" is fiscal year 2020. "The second year" is fiscal year 2021. "The biennium"

1.27

is fiscal years 2020 and 2021.

2.1		<u>Ending June 30</u>	
2.2		<u>2020</u>	<u>2021</u>
2.3	<u>Sec. 2. MINNESOTA OFFICE OF HIGHER</u>		
2.4	<u>EDUCATION</u>		
2.5	<u>Subdivision 1. Total Appropriation</u>	\$	<u>269,133,000</u> \$ <u>268,883,000</u>
2.6	<u>The amounts that may be spent for each</u>		
2.7	<u>purpose are specified in the following</u>		
2.8	<u>subdivisions.</u>		
2.9	<u>Subd. 2. State Grants</u>	<u>207,437,000</u>	<u>207,437,000</u>
2.10	<u>If the appropriation in this subdivision for</u>		
2.11	<u>either year is insufficient, the appropriation</u>		
2.12	<u>for the other year is available for it.</u>		
2.13	<u>Subd. 3. Child Care Grants</u>	<u>6,694,000</u>	<u>6,694,000</u>
2.14	<u>Subd. 4. State Work-Study</u>	<u>14,502,000</u>	<u>14,502,000</u>
2.15	<u>Subd. 5. Interstate Tuition Reciprocity</u>	<u>11,018,000</u>	<u>11,018,000</u>
2.16	<u>If the appropriation in this subdivision for</u>		
2.17	<u>either year is insufficient, the appropriation</u>		
2.18	<u>for the other year is available to meet</u>		
2.19	<u>reciprocity contract obligations.</u>		
2.20	<u>Subd. 6. Safety Officer's Survivors</u>	<u>100,000</u>	<u>100,000</u>
2.21	<u>This appropriation is to provide educational</u>		
2.22	<u>benefits under Minnesota Statutes, section</u>		
2.23	<u>299A.45, to eligible dependent children and</u>		
2.24	<u>to the spouses of public safety officers killed</u>		
2.25	<u>in the line of duty.</u>		
2.26	<u>If the appropriation in this subdivision for</u>		
2.27	<u>either year is insufficient, the appropriation</u>		
2.28	<u>for the other year is available for it.</u>		
2.29	<u>Subd. 7. American Indian Scholarships</u>	<u>3,500,000</u>	<u>3,500,000</u>
2.30	<u>The commissioner must contract with or</u>		
2.31	<u>employ at least one person with demonstrated</u>		
2.32	<u>competence in American Indian culture and</u>		
2.33	<u>residing in or near the city of Bemidji to assist</u>		

3.1 students with the scholarships under
 3.2 Minnesota Statutes, section 136A.126, and
 3.3 with other information about financial aid for
 3.4 which the students may be eligible. Bemidji
 3.5 State University must provide office space at
 3.6 no cost to the Office of Higher Education for
 3.7 purposes of administering the American Indian
 3.8 scholarship program under Minnesota Statutes,
 3.9 section 136A.126. This appropriation includes
 3.10 funding to administer the American Indian
 3.11 scholarship program.

3.12 **Subd. 8. Tribal College Grants** 150,000 150,000

3.13 For tribal college assistance grants under
 3.14 Minnesota Statutes, section 136A.1796.

3.15 **Subd. 9. Intervention for College Attendance**
 3.16 **Program Grants** 796,000 796,000

3.17 For the intervention for college attendance
 3.18 program under Minnesota Statutes, section
 3.19 136A.861.

3.20 The commissioner may use no more than three
 3.21 percent of this appropriation to administer the
 3.22 intervention for college attendance program
 3.23 grants.

3.24 The base for fiscal year 2022 and thereafter is
 3.25 \$785,000.

3.26 **Subd. 10. Student-Parent Information** 122,000 122,000

3.27 **Subd. 11. Get Ready!** 180,000 180,000

3.28 **Subd. 12. Minnesota Education Equity**
 3.29 **Partnership** 45,000 45,000

3.30 **Subd. 13. Midwest Higher Education Compact** 115,000 115,000

3.31 **Subd. 14. MN Reconnect** 1,005,000 1,005,000

3.32 For the Office of Higher Education to award
 3.33 grant funds to students and institutions under

4.1 Minnesota Statutes, section 136A.123. This
 4.2 is a onetime appropriation.

4.3 **Subd. 15. United Family Medicine Residency**
 4.4 **Program**

501,000

501,000

4.5 For a grant to United Family Medicine
 4.6 residency program. This appropriation shall
 4.7 be used to support up to 21 resident physicians
 4.8 each year in family practice at United Family
 4.9 Medicine residency programs and shall
 4.10 prepare doctors to practice family care
 4.11 medicine in underserved rural and urban areas
 4.12 of the state. It is intended that this program
 4.13 will improve health care in underserved
 4.14 communities, provide affordable access to
 4.15 appropriate medical care, and manage the
 4.16 treatment of patients in a cost-effective
 4.17 manner.

4.18 **Subd. 16. MnLINK Gateway and Minitex**

5,905,000

5,905,000

4.19 **Subd. 17. Statewide Longitudinal Education**
 4.20 **Data System**

1,782,000

1,782,000

4.21 **Subd. 18. Hennepin Healthcare**

645,000

645,000

4.22 For transfer to Hennepin Healthcare for
 4.23 graduate family medical education programs
 4.24 at Hennepin Healthcare.

4.25 **Subd. 19. College Possible**

500,000

500,000

4.26 (a) This appropriation is for immediate transfer
 4.27 to College Possible to support programs of
 4.28 college admission and college graduation for
 4.29 low-income students through an intensive
 4.30 curriculum of coaching and support at both
 4.31 the high school and postsecondary level.

4.32 (b) This appropriation must, to the extent
 4.33 possible, be proportionately allocated between

5.1 students from greater Minnesota and students
 5.2 in the seven-county metropolitan area.

5.3 (c) This appropriation must be used by College
 5.4 Possible only for programs supporting students
 5.5 who are residents of Minnesota and attending
 5.6 colleges or universities within Minnesota.

5.7 (d) By February 1 of each year, College
 5.8 Possible must report to the chairs and ranking
 5.9 minority members of the legislative
 5.10 committees and divisions with jurisdiction
 5.11 over higher education and E-12 education on
 5.12 activities funded by this appropriation. The
 5.13 report must include, but is not limited to,
 5.14 information about the expansion of College
 5.15 Possible in Minnesota, the number of College
 5.16 Possible coaches hired, the expansion within
 5.17 existing partner high schools, the expansion
 5.18 of high school partnerships, the number of
 5.19 high school and college students served, the
 5.20 total hours of community service by high
 5.21 school and college students, and a list of
 5.22 communities and organizations benefiting
 5.23 from student service hours.

5.24 **Subd. 20. Spinal Cord Injury and Traumatic**
 5.25 **Brain Injury Research Grant Program**

3,000,000

3,000,000

5.26 For transfer to the spinal cord and traumatic
 5.27 brain grant account in the special revenue fund
 5.28 under Minnesota Statutes, section 136A.901,
 5.29 subdivision 1.

5.30 The commissioner may use no more than three
 5.31 percent of the amount transferred under this
 5.32 subdivision to administer the grant program.

5.33 **Subd. 21. Summer Academic Enrichment**
 5.34 **Program**

250,000

250,000

6.1 For summer academic enrichment grants under
 6.2 Minnesota Statutes, section 136A.091.

6.3 The commissioner may use no more than three
 6.4 percent of this appropriation to administer the
 6.5 grant program under this subdivision.

6.6 **Subd. 22. Dual Training Competency Grants;**
 6.7 **Office of Higher Education**

2,000,000

2,000,000

6.8 For transfer to the Dual Training Competency
 6.9 Grants account in the special revenue fund
 6.10 under Minnesota Statutes, section 136A.246,
 6.11 subdivision 10.

6.12 **Subd. 23. Dual Training Competency Grants;**
 6.13 **Department of Labor and Industry**

200,000

200,000

6.14 For transfer to the commissioner of labor and
 6.15 industry for identification of competency
 6.16 standards for dual training under Minnesota
 6.17 Statutes, section 175.45.

6.18 **Subd. 24. Concurrent Enrollment Courses**

340,000

340,000

6.19 (a) \$225,000 in fiscal year 2020 and \$225,000
 6.20 in fiscal year 2021 are for grants to develop
 6.21 new concurrent enrollment courses under
 6.22 Minnesota Statutes, section 124D.09,
 6.23 subdivision 10, that satisfy the elective
 6.24 standard for career and technical education.

6.25 Any balance in the first year does not cancel
 6.26 but is available in the second year.

6.27 (b) \$115,000 in fiscal year 2020 and \$115,000
 6.28 in fiscal year 2021 are for grants to
 6.29 postsecondary institutions currently
 6.30 sponsoring a concurrent enrollment course to
 6.31 expand existing programs. The commissioner
 6.32 shall determine the application process and
 6.33 the grant amounts. The commissioner must
 6.34 give preference to expanding programs that

7.1 are at capacity. Any balance in the first year
 7.2 does not cancel but is available in the second
 7.3 year.

7.4 (c) By December 1 of each year, the office
 7.5 shall submit a brief report to the chairs and
 7.6 ranking minority members of the legislative
 7.7 committees with jurisdiction over higher
 7.8 education regarding:

7.9 (1) the courses developed by grant recipients
 7.10 and the number of students who enrolled in
 7.11 the courses under paragraph (a); and

7.12 (2) the programs expanded and the number of
 7.13 students who enrolled in programs under
 7.14 paragraph (b).

7.15 Subd. 25. **Campus Sexual Assault Reporting** 25,000 25,000

7.16 For the sexual assault reporting required under
 7.17 Minnesota Statutes, section 135A.15.

7.18 Subd. 26. **Campus Sexual Violence Prevention**
 7.19 **and Response Coordinator** 150,000 150,000

7.20 For the Office of Higher Education to staff a
 7.21 campus sexual violence prevention and
 7.22 response coordinator to serve as a statewide
 7.23 resource providing professional development
 7.24 and guidance on best practices for
 7.25 postsecondary institutions. \$50,000 each year
 7.26 is for administrative funding to conduct
 7.27 trainings and provide materials to
 7.28 postsecondary institutions.

7.29 Subd. 27. **Emergency Assistance for** 269,000 269,000
 7.30 **Postsecondary Students**

7.31 (a) This appropriation is for the Office of
 7.32 Higher Education to allocate grant funds on a
 7.33 matching basis to eligible institutions as
 7.34 defined under Minnesota Statutes, section

8.1 136A.103, located in Minnesota with a
 8.2 demonstrable homeless student population.

8.3 (b) This appropriation shall be used to meet
 8.4 immediate student needs that could result in
 8.5 a student not completing the term or their
 8.6 program including, but not limited to,
 8.7 emergency housing, food, and transportation.

8.8 Institutions shall minimize any negative
 8.9 impact on student financial aid resulting from
 8.10 the receipt of emergency funds.

8.11 (c) The commissioner shall determine the
 8.12 application process and the grant amounts.
 8.13 The Office of Higher Education shall partner
 8.14 with interested postsecondary institutions,
 8.15 other state agencies, and student groups to
 8.16 establish the programs.

8.17 (d) The base for this appropriation in fiscal
 8.18 year 2022 and all years thereafter is \$175,000.

8.19	<u>Subd. 28. Grants to Teacher Candidates</u>	<u>1,250,000</u>	<u>1,250,000</u>
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8.20 For grants to teacher candidates under
 8.21 Minnesota Statutes, section 136A.1275. Of
 8.22 this amount, \$750,000 each year is directed
 8.23 to support candidates belonging to an
 8.24 underrepresented racial or ethnic group and
 8.25 meeting other eligibility requirements. If this
 8.26 dedicated amount is not fully spent because
 8.27 of a lack of qualifying candidates, any
 8.28 remaining amount may be awarded to
 8.29 qualifying teacher candidates in a shortage
 8.30 area.

8.31 The commissioner may use no more than three
 8.32 percent of the appropriation for administration
 8.33 of the program.

8.34	<u>Subd. 29. Teacher Shortage Loan Forgiveness</u>	<u>200,000</u>	<u>200,000</u>
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9.1	<u>For transfer to the teacher shortage loan</u>		
9.2	<u>forgiveness repayment account in the special</u>		
9.3	<u>revenue fund under Minnesota Statutes,</u>		
9.4	<u>section 136A.1791, subdivision 8.</u>		
9.5	<u>The commissioner may use no more than three</u>		
9.6	<u>percent of the amount transferred under this</u>		
9.7	<u>subdivision to administer the program.</u>		
9.8	<u>Subd. 30. Large Animal Veterinarian Loan</u>		
9.9	<u>Forgiveness Program</u>	<u>375,000</u>	<u>375,000</u>
9.10	<u>For transfer to the large animal veterinarian</u>		
9.11	<u>loan forgiveness program account in the</u>		
9.12	<u>special revenue fund under Minnesota</u>		
9.13	<u>Statutes, section 136A.1795, subdivision 2.</u>		
9.14	<u>Subd. 31. Agricultural Educators Loan</u>		
9.15	<u>Forgiveness</u>	<u>50,000</u>	<u>50,000</u>
9.16	<u>For transfer to the agricultural education loan</u>		
9.17	<u>forgiveness account in the special revenue</u>		
9.18	<u>fund under Minnesota Statutes, section</u>		
9.19	<u>136A.1794, subdivision 2.</u>		
9.20	<u>Subd. 32. Aviation Degree Loan Forgiveness</u>		
9.21	<u>Program</u>	<u>25,000</u>	<u>25,000</u>
9.22	<u>For transfer to the aviation degree loan</u>		
9.23	<u>forgiveness program account in the special</u>		
9.24	<u>revenue fund under Minnesota Statutes,</u>		
9.25	<u>section 136A.1789, subdivision 2.</u>		
9.26	<u>Subd. 33. Grants for Students with Intellectual</u>		
9.27	<u>and Developmental Disabilities</u>	<u>200,000</u>	<u>200,000</u>
9.28	<u>For grants for students with intellectual and</u>		
9.29	<u>developmental disabilities under Minnesota</u>		
9.30	<u>Statutes, section 136A.1215.</u>		
9.31	<u>Subd. 34. Loan Repayment Assistance Program</u>	<u>25,000</u>	<u>25,000</u>
9.32	<u>For a grant to the Loan Repayment Assistance</u>		
9.33	<u>Program of Minnesota to provide education</u>		
9.34	<u>debt relief to attorneys with full-time</u>		

10.1	<u>employment providing legal advice or</u>		
10.2	<u>representation to low-income clients or support</u>		
10.3	<u>services for this work.</u>		
10.4	<u>Subd. 35. Minnesota Independence College and</u>		
10.5	<u>Community</u>	<u>1,000,000</u>	<u>1,000,000</u>
10.6	<u>For a grant to Minnesota Independence</u>		
10.7	<u>College and Community for need-based</u>		
10.8	<u>scholarships and tuition reduction. Beginning</u>		
10.9	<u>with students first enrolled in the fall of 2019,</u>		
10.10	<u>eligibility is limited to resident students as</u>		
10.11	<u>defined in Minnesota Statutes, section</u>		
10.12	<u>136A.101, subdivision 8.</u>		
10.13	<u>Subd. 36. Student Loan Debt Counseling</u>	<u>200,000</u>	<u>200,000</u>
10.14	<u>For student loan debt counseling under</u>		
10.15	<u>Minnesota Statutes, section 136A.1788.</u>		
10.16	<u>The Office of Higher Education may use no</u>		
10.17	<u>more than three percent of the appropriation</u>		
10.18	<u>to administer the student loan debt counseling</u>		
10.19	<u>program.</u>		
10.20	<u>Subd. 37. Agency Administration</u>	<u>4,577,000</u>	<u>4,327,000</u>
10.21	<u>Up to \$500,000 in fiscal year 2020 and</u>		
10.22	<u>\$250,000 in fiscal year 2021 are available for</u>		
10.23	<u>communications and outreach to students,</u>		
10.24	<u>adults, and families to provide information on</u>		
10.25	<u>the expected costs of college and the various</u>		
10.26	<u>grant options made available to them through</u>		
10.27	<u>the state.</u>		
10.28	<u>Subd. 38. Balances Forward</u>		
10.29	<u>A balance in the first year under this section</u>		
10.30	<u>does not cancel, but is available for the second</u>		
10.31	<u>year.</u>		
10.32	<u>Subd. 39. Transfers</u>		

11.1 The commissioner of the Office of Higher
 11.2 Education may transfer unencumbered
 11.3 balances from the appropriations in this
 11.4 section to the state grant appropriation, the
 11.5 interstate tuition reciprocity appropriation, the
 11.6 child care grant appropriation, the Indian
 11.7 scholarship appropriation, the state work-study
 11.8 appropriation, the get ready appropriation, the
 11.9 intervention for college attendance
 11.10 appropriation, the student-parent information
 11.11 appropriation, the summer academic
 11.12 enrichment program appropriation, and the
 11.13 public safety officers' survivors appropriation.
 11.14 Transfers from the child care or state
 11.15 work-study appropriations may only be made
 11.16 to the extent there is a projected surplus in the
 11.17 appropriation. A transfer may be made only
 11.18 with prior written notice to the chairs and
 11.19 ranking minority members of the senate and
 11.20 house of representatives committees with
 11.21 jurisdiction over higher education finance.

11.22 **Sec. 3. BOARD OF TRUSTEES OF THE**
 11.23 **MINNESOTA STATE COLLEGES AND**
 11.24 **UNIVERSITIES**

11.25 Subdivision 1. **Total Appropriation** \$ 758,679,000 \$ 765,659,000

11.26 The amounts that may be spent for each
 11.27 purpose are specified in the following
 11.28 subdivisions.

11.29 Subd. 2. **Central Office and Shared Services**
 11.30 **Unit**

33,074,000

33,074,000

11.31 For the Office of the Chancellor and the
 11.32 Shared Services Division.

11.33 Subd. 3. **Operations and Maintenance**

721,490,000

728,470,000

11.34 (a) The Board of Trustees must establish
 11.35 tuition rates as follows:

12.1 (1) for the 2019-2020 academic year, the
12.2 tuition rate at colleges must not exceed the
12.3 2018-2019 academic year rate by more than
12.4 three percent, and for the 2020-2021 academic
12.5 year, the tuition rate must not exceed the
12.6 2019-2020 academic year rate by more than
12.7 three percent;

12.8 (2) for the 2019-2020 academic year, the
12.9 tuition rates for undergraduates at universities
12.10 must not exceed the 2018-2019 academic year
12.11 rate by more than three percent, except as
12.12 provided under clause (3), and for the
12.13 2020-2021 academic year, the tuition rate must
12.14 not exceed the 2019-2020 academic year rate
12.15 by more than three percent;

12.16 (3) for the 2019-2020 academic year, the
12.17 university with the lowest 2018-2019
12.18 academic year banded tuition rate may
12.19 increase its tuition to a tuition rate up to or
12.20 equal to the 2019-2020 academic year tuition
12.21 rate of the university with the second lowest
12.22 2018-2019 academic year banded tuition rate.
12.23 For the 2020-2021 academic year, the tuition
12.24 rate must not exceed the 2019-2020 academic
12.25 year rate by more than three percent; and

12.26 (4) for the 2019-2020 and 2020-2021
12.27 academic years, the differential tuition rate for
12.28 online courses must not exceed the 2018-2019
12.29 academic year rate.

12.30 The student tuition relief may not be offset by
12.31 increases in mandatory fees, charges, or other
12.32 assessments to the student. Except under
12.33 clause (4), colleges and universities are
12.34 permitted to increase differential tuition
12.35 charges in fiscal years 2020 and 2021 where

- 13.1 costs for course or program delivery have
13.2 increased due to extraordinary circumstances
13.3 beyond the control of the college or university.
13.4 Rates and rationale must be approved by the
13.5 Board of Trustees.
- 13.6 (b) \$3,000,000 in fiscal year 2020 and
13.7 \$3,000,000 in fiscal year 2021 are to provide
13.8 supplemental aid for operations and
13.9 maintenance to the president of each two-year
13.10 institution in the system with at least one
13.11 campus that is not located in a metropolitan
13.12 county, as defined in Minnesota Statutes,
13.13 section 473.121, subdivision 4. The board
13.14 shall transfer \$100,000 for each campus not
13.15 located in a metropolitan county in each year
13.16 to the president of each institution that
13.17 includes such a campus, provided that no
13.18 institution may receive more than \$300,000
13.19 in total supplemental aid each year.
- 13.20 (c) The Board of Trustees is requested to help
13.21 Minnesota close the attainment gap by funding
13.22 activities which improve retention and
13.23 completion for students of color.
- 13.24 (d) \$2,000,000 in fiscal year 2020 and
13.25 \$6,000,000 in fiscal year 2021 are for
13.26 workforce development scholarships under
13.27 Minnesota Statutes, section 136F.38. The base
13.28 for fiscal year 2022 and thereafter is
13.29 \$4,000,000.
- 13.30 (e) \$300,000 in fiscal year 2020 and \$300,000
13.31 in fiscal year 2021 are for transfer to the Cook
13.32 County Higher Education Board to provide
13.33 educational programming, workforce
13.34 development, and academic support services
13.35 to remote regions in northeastern Minnesota.

- 14.1 The Cook County Higher Education Board
14.2 shall continue to provide information to the
14.3 Board of Trustees on the number of students
14.4 served, credit hours delivered, and services
14.5 provided to students.
- 14.6 (f) This appropriation includes \$40,000 in
14.7 fiscal year 2020 and \$40,000 in fiscal year
14.8 2021 to implement the sexual assault policies
14.9 required under Minnesota Statutes, section
14.10 135A.15.
- 14.11 (g) This appropriation includes \$8,000,000 in
14.12 fiscal year 2020 and \$8,000,000 in fiscal year
14.13 2021 for upgrading the Integrated Statewide
14.14 Record System.
- 14.15 (h) This appropriation includes \$250,000 in
14.16 fiscal year 2020 and \$250,000 in fiscal year
14.17 2021 for developing and offering courses to
14.18 implement the Z-Degree textbook program
14.19 under Minnesota Statutes, section 136F.305.
14.20 This is a onetime appropriation.
- 14.21 (i) This appropriation includes \$500,000 in
14.22 fiscal year 2020 and \$500,000 in fiscal year
14.23 2021 to support local partnership programs at
14.24 Minnesota State Colleges and Universities
14.25 campuses. Local partnerships must be
14.26 comprised of campuses and local businesses
14.27 and may also include K-12 school districts,
14.28 trade associations, local chambers of
14.29 commerce, and economic development
14.30 authorities. Funds must be used to develop
14.31 new and accelerate existing employer-led
14.32 workforce exposure programs, technical
14.33 education pathway programs, dual-training
14.34 programs, internships, youth skills training
14.35 programs, and other industry-recognized

15.1 programs in high-growth, high-demand
 15.2 industries. Priority consideration for funding
 15.3 shall be given to local partnerships whose
 15.4 program addresses an industry with a
 15.5 demonstrated workforce shortage. Local
 15.6 partnerships must demonstrate how business
 15.7 and industry are providing financial and
 15.8 in-kind contributions to the program. This is
 15.9 a onetime appropriation.

15.10 (j) This appropriation includes \$250,000 in
 15.11 fiscal year 2020 and \$250,000 in fiscal year
 15.12 2021 for leveraged equipment acquisition. For
 15.13 the purposes of this section, "equipment"
 15.14 means equipment for instructional purposes
 15.15 for programs that the board has determined
 15.16 would produce graduates with skills for which
 15.17 there is a high employer need within the state.
 15.18 An equipment acquisition may be made using
 15.19 this appropriation only if matched by cash or
 15.20 in-kind contributions from nonstate sources.
 15.21 This is a onetime appropriation.

15.22 (k) \$125,000 in fiscal year 2020 and \$125,000
 15.23 in fiscal year 2021 are for the mental health
 15.24 services for students required under Minnesota
 15.25 Statutes, section 136F.20, subdivision 3. This
 15.26 is a onetime appropriation.

15.27 (l) The total operations and maintenance base
 15.28 for fiscal year 2022 and thereafter is
 15.29 \$725,345,000.

15.30	<u>Subd. 4. Learning Network of Minnesota</u>	<u>4,115,000</u>	<u>4,115,000</u>
15.31	<u>Sec. 4. BOARD OF REGENTS OF THE</u>		
15.32	<u>UNIVERSITY OF MINNESOTA</u>		
15.33	<u>Subdivision 1. Total Appropriation</u>	<u>\$ 671,673,000</u>	<u>\$ 673,413,000</u>

16.1 Appropriations by Fund

16.2		<u>2020</u>	<u>2021</u>
16.3	<u>General</u>	<u>669,516,000</u>	<u>671,256,000</u>
16.4	<u>Health Care Access</u>	<u>2,157,000</u>	<u>2,157,000</u>

16.5 The amounts that may be spent for each
 16.6 purpose are specified in the following
 16.7 subdivisions.

16.8	<u>Subd. 2. Operations and Maintenance</u>	<u>601,078,000</u>	<u>602,818,000</u>
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16.9 (a)(1) The Board of Regents is requested to
 16.10 establish tuition rates as follows: for the
 16.11 2019-2020 academic year, the resident
 16.12 undergraduate tuition rate is requested to not
 16.13 exceed the 2018-2019 academic year rate by
 16.14 more than three percent, and for the 2020-2021
 16.15 academic year, the resident undergraduate
 16.16 tuition rate is requested to not exceed the
 16.17 2019-2020 academic year rate by more than
 16.18 three percent; and

16.19 (2) for the 2019-2020 and 2020-2021
 16.20 academic years, it is requested that the
 16.21 differential tuition rate and fees for online
 16.22 courses not exceed the 2018-2019 academic
 16.23 year rate and fees.

16.24 (b) \$15,000,000 in fiscal year 2020 and
 16.25 \$15,000,000 in fiscal year 2021 are to: (1)
 16.26 increase the medical school's research
 16.27 capacity; (2) improve the medical school's
 16.28 ranking in National Institutes of Health
 16.29 funding; (3) ensure the medical school's
 16.30 national prominence by attracting and
 16.31 retaining world-class faculty, staff, and
 16.32 students; (4) invest in physician training
 16.33 programs in rural and underserved
 16.34 communities; and (5) translate the medical
 16.35 school's research discoveries into new

17.1 treatments and cures to improve the health of
 17.2 Minnesotans.

17.3 (c) \$7,800,000 in fiscal year 2020 and
 17.4 \$7,800,000 in fiscal year 2021 are for health
 17.5 training restoration. This appropriation must
 17.6 be used to support all of the following: (1)
 17.7 faculty physicians who teach at eight residency
 17.8 program sites, including medical resident and
 17.9 student training programs in the Department
 17.10 of Family Medicine; (2) the Mobile Dental
 17.11 Clinic; and (3) expansion of geriatric
 17.12 education and family programs.

17.13 (d) \$4,000,000 in fiscal year 2020 and
 17.14 \$4,000,000 in fiscal year 2021 are for the
 17.15 Minnesota Discovery, Research, and
 17.16 InnoVation Economy funding program for
 17.17 cancer care research.

17.18 (e) \$500,000 in fiscal year 2020 and \$500,000
 17.19 in fiscal year 2021 are for the University of
 17.20 Minnesota, Morris branch, to cover the costs
 17.21 of tuition waivers under Minnesota Statutes,
 17.22 section 137.16.

17.23 Subd. 3. **Primary Care Education Initiatives** 2,157,000 2,157,000

17.24 This appropriation is from the health care
 17.25 access fund.

17.26 Subd. 4. **Special Appropriations**

17.27 (a) **Agriculture and Extension Service** 42,922,000 42,922,000

17.28 For the Agricultural Experiment Station and
 17.29 the Minnesota Extension Service:

17.30 (1) the agricultural experiment stations and
 17.31 Minnesota Extension Service must convene
 17.32 agricultural advisory groups to focus research,
 17.33 education, and extension activities on producer

18.1 needs and implement an outreach strategy that
18.2 more effectively and rapidly transfers research
18.3 results and best practices to producers
18.4 throughout the state;

18.5 (2) this appropriation includes funding for
18.6 research and outreach on the production of
18.7 renewable energy from Minnesota biomass
18.8 resources, including agronomic crops, plant
18.9 and animal wastes, and native plants or trees.
18.10 The following areas should be prioritized and
18.11 carried out in consultation with Minnesota
18.12 producers, renewable energy, and bioenergy
18.13 organizations:

18.14 (i) biofuel and other energy production from
18.15 perennial crops, small grains, row crops, and
18.16 forestry products in conjunction with the
18.17 Natural Resources Research Institute (NRRI);

18.18 (ii) alternative bioenergy crops and cropping
18.19 systems; and

18.20 (iii) biofuel coproducts used for livestock feed;

18.21 (3) this appropriation includes funding for the
18.22 College of Food, Agricultural, and Natural
18.23 Resources Sciences to establish and provide
18.24 leadership for organic agronomic,
18.25 horticultural, livestock, and food systems
18.26 research, education, and outreach and for the
18.27 purchase of state-of-the-art laboratory,
18.28 planting, tilling, harvesting, and processing
18.29 equipment necessary for this project;

18.30 (4) this appropriation includes funding for
18.31 research efforts that demonstrate a renewed
18.32 emphasis on the needs of the state's agriculture
18.33 community. The following areas should be

- 19.1 prioritized and carried out in consultation with
19.2 Minnesota farm organizations:
- 19.3 (i) vegetable crop research with priority for
19.4 extending the Minnesota vegetable growing
19.5 season;
- 19.6 (ii) fertilizer and soil fertility research and
19.7 development;
- 19.8 (iii) soil, groundwater, and surface water
19.9 conservation practices and contaminant
19.10 reduction research;
- 19.11 (iv) discovering and developing plant varieties
19.12 that use nutrients more efficiently;
- 19.13 (v) breeding and development of turf seed and
19.14 other biomass resources in all three Minnesota
19.15 biomes;
- 19.16 (vi) development of new disease-resistant and
19.17 pest-resistant varieties of turf and agronomic
19.18 crops;
- 19.19 (vii) utilizing plant and livestock cells to treat
19.20 and cure human diseases;
- 19.21 (viii) the development of dairy coproducts;
- 19.22 (ix) a rapid agricultural response fund for
19.23 current or emerging animal, plant, and insect
19.24 problems affecting production or food safety;
- 19.25 (x) crop pest and animal disease research;
- 19.26 (xi) developing animal agriculture that is
19.27 capable of sustainably feeding the world;
- 19.28 (xii) consumer food safety education and
19.29 outreach;
- 19.30 (xiii) programs to meet the research and
19.31 outreach needs of organic livestock and crop
19.32 farmers; and

20.1 (xiv) alternative bioenergy crops and cropping
 20.2 systems; and growing, harvesting, and
 20.3 transporting biomass plant material; and
 20.4 (5) by February 1, 2021, the Board of Regents
 20.5 must submit a report to the legislative
 20.6 committees and divisions with jurisdiction
 20.7 over agriculture and higher education finance
 20.8 on the status and outcomes of research and
 20.9 initiatives funded in this paragraph.

20.10 **(b) Health Sciences** 9,204,000 9,204,000

20.11 \$346,000 each year is to support up to 12
 20.12 resident physicians in the St. Cloud Hospital
 20.13 family practice residency program. The
 20.14 program must prepare doctors to practice
 20.15 primary care medicine in rural areas of the
 20.16 state. The legislature intends this program to
 20.17 improve health care in rural communities,
 20.18 provide affordable access to appropriate
 20.19 medical care, and manage the treatment of
 20.20 patients in a more cost-effective manner. The
 20.21 remainder of this appropriation is for the rural
 20.22 physicians associates program; the Veterinary
 20.23 Diagnostic Laboratory; health sciences
 20.24 research; dental care; the Biomedical
 20.25 Engineering Center; and the collaborative
 20.26 partnership between the University of
 20.27 Minnesota and Mayo Clinic for regenerative
 20.28 medicine, research, clinical translation, and
 20.29 commercialization.

20.30 **(c) College of Science and Engineering** 1,140,000 1,140,000

20.31 For the geological survey and the talented
 20.32 youth mathematics program.

20.33 **(d) System Special** 7,181,000 7,181,000

21.1 For general research, the Labor Education
 21.2 Service, Natural Resources Research Institute,
 21.3 Center for Urban and Regional Affairs, Bell
 21.4 Museum of Natural History, and the
 21.5 Humphrey exhibit.

21.6 \$2,000,000 in fiscal year 2020 and \$2,000,000
 21.7 in fiscal year 2021 are for the Natural
 21.8 Resources Research Institute to invest in
 21.9 applied research for economic development.

21.10 **(e) University of Minnesota and Mayo**
 21.11 **Foundation Partnership**

7,991,000

7,991,000

21.12 This appropriation is for the following
 21.13 activities:

21.14 (1) \$7,491,000 in fiscal year 2020 and
 21.15 \$7,491,000 in fiscal year 2021 are for the
 21.16 direct and indirect expenses of the
 21.17 collaborative research partnership between the
 21.18 University of Minnesota and the Mayo
 21.19 Foundation for research in biotechnology and
 21.20 medical genomics. An annual report on the
 21.21 expenditure of these funds must be submitted
 21.22 to the governor and the chairs of the legislative
 21.23 committees responsible for higher education
 21.24 finance by June 30 of each fiscal year.

21.25 (2) \$500,000 in fiscal year 2020 and \$500,000
 21.26 in fiscal year 2021 are to award competitive
 21.27 grants to conduct research into the prevention,
 21.28 treatment, causes, and cures of Alzheimer's
 21.29 disease and other dementias.

21.30 **Subd. 5. Academic Health Center**

21.31 The appropriation for Academic Health Center
 21.32 funding under Minnesota Statutes, section
 21.33 297F.10, is estimated to be \$22,250,000 each
 21.34 year.

22.1	Sec. 5. <u>MAYO CLINIC</u>			
22.2	<u>Subdivision 1. Total Appropriation</u>	<u>\$</u>	<u>1,351,000</u>	<u>\$ 1,351,000</u>
22.3	<u>The amounts that may be spent are specified</u>			
22.4	<u>in the following subdivisions.</u>			
22.5	<u>Subd. 2. Medical School</u>		<u>665,000</u>	<u>665,000</u>
22.6	<u>The state must pay a capitation each year for</u>			
22.7	<u>each student who is a resident of Minnesota.</u>			
22.8	<u>The appropriation may be transferred between</u>			
22.9	<u>each year of the biennium to accommodate</u>			
22.10	<u>enrollment fluctuations. It is intended that</u>			
22.11	<u>during the biennium the Mayo Clinic use the</u>			
22.12	<u>capitation money to increase the number of</u>			
22.13	<u>doctors practicing in rural areas in need of</u>			
22.14	<u>doctors.</u>			
22.15	<u>Subd. 3. Family Practice and Graduate</u>			
22.16	<u>Residency Program</u>		<u>686,000</u>	<u>686,000</u>
22.17	<u>The state must pay stipend support for up to</u>			
22.18	<u>27 residents each year.</u>			

22.19	ARTICLE 2			
22.20	HIGHER EDUCATION			
22.21	Section 1. Minnesota Statutes 2018, section 13.322, subdivision 3, is amended to read:			
22.22	Subd. 3. Minnesota Office of Higher Education. (a) General. Data sharing involving			
22.23	the Minnesota Office of Higher Education and other institutions is governed by section			
22.24	136A.05.			
22.25	(b) Student financial aid. Data collected and used by the Minnesota Office of Higher			
22.26	Education on applicants for financial assistance are classified under section 136A.162.			
22.27	(c) Minnesota college savings plan data. Account owner data, account data, and data			
22.28	on beneficiaries of accounts under the Minnesota college savings plan are classified under			
22.29	section 136G.05, subdivision 10.			
22.30	(d) School financial records. Financial records submitted by schools registering with			
22.31	the Minnesota Office of Higher Education are classified under section 136A.64.			

(e) **Enrollment and financial aid data.** Data collected from eligible institutions on student enrollment and federal and state financial aid are governed by sections 136A.121, subdivision 18, and 136A.1701, subdivision 11.

(f) **Student complaint data.** Data collected from student complaints are governed by sections 136A.672, subdivision 6, and 136A.8295, subdivision 7.

Sec. 2. Minnesota Statutes 2018, section 127A.70, subdivision 2, is amended to read:

Subd. 2. Powers and duties; report. (a) The partnership shall develop recommendations to the governor and the legislature designed to maximize the achievement of all P-20 students while promoting the efficient use of state resources, thereby helping the state realize the maximum value for its investment. These recommendations may include, but are not limited to, strategies, policies, or other actions focused on:

(1) improving the quality of and access to education at all points from preschool through graduate education;

(2) improving preparation for, and transitions to, postsecondary education and work;

(3) ensuring educator quality by creating rigorous standards for teacher recruitment, teacher preparation, induction and mentoring of beginning teachers, and continuous professional development for career teachers; and

(4) realigning the governance and administrative structures of early education, kindergarten through grade 12, and postsecondary systems in Minnesota.

(b) Under the direction of the P-20 Education Partnership Statewide Longitudinal Education Data System Governance Committee, the Office of Higher Education and the Departments of Education and Employment and Economic Development shall improve and expand the Statewide Longitudinal Education Data System (SLEDs) and the Early Childhood Longitudinal Data System (ECLDS) to provide policymakers, education and workforce leaders, researchers, and members of the public with data, research, and reports to:

(1) expand reporting on students' educational outcomes for diverse student populations including at-risk students, children with disabilities, English learners, and gifted students, among others, and include formative and summative evaluations based on multiple measures of child well-being, early childhood development, and student progress toward career and college readiness;

(2) evaluate the effectiveness of early care, educational, and workforce programs; and

(3) evaluate the ~~relationship between~~ relationships among early care, education, and workforce outcomes, consistent with section 124D.49.

To the extent possible under federal and state law, research and reports should be accessible to the public on the Internet, and disaggregated by demographic characteristics, organization or organization characteristics, and geography.

It is the intent of the legislature that the Statewide Longitudinal Education Data System and the Early Childhood Longitudinal Data System inform public policy and decision-making. The SLEDS governance committee and ECLDS governance committee, with assistance from staff of the Office of Higher Education, the Department of Education, and the Department of Employment and Economic Development, shall respond to legislative committee and agency requests on topics utilizing data made available through the Statewide Longitudinal Education Data System and the Early Childhood Longitudinal Data System as resources permit. Any analysis of or report on the data must contain only summary data.

(c) By January 15 of each year, the partnership shall submit a report to the governor and to the chairs and ranking minority members of the legislative committees and divisions with jurisdiction over P-20 education policy and finance that summarizes the partnership's progress in meeting its goals and identifies the need for any draft legislation when necessary to further the goals of the partnership to maximize student achievement while promoting efficient use of resources.

Sec. 3. Minnesota Statutes 2018, section 135A.15, subdivision 2, is amended to read:

Subd. 2. **Victims' rights.** The policy required under subdivision 1 shall, at a minimum, require that students and employees be informed of the policy, and shall include provisions for:

(1) filing criminal charges with local law enforcement officials in sexual assault cases;

(2) the prompt assistance of campus authorities, at the request of the victim, in notifying the appropriate law enforcement officials and disciplinary authorities of a sexual assault incident;

(3) allowing sexual assault victims to decide whether to report a case to law enforcement;

(4) requiring campus authorities to treat sexual assault victims with dignity;

(5) requiring campus authorities to offer sexual assault victims fair and respectful health care, counseling services, or referrals to such services;

25.1 (6) preventing campus authorities from suggesting to a victim of sexual assault that the
25.2 victim is at fault for the crimes or violations that occurred;

25.3 (7) preventing campus authorities from suggesting to a victim of sexual assault that the
25.4 victim should have acted in a different manner to avoid such a crime;

25.5 (8) subject to subdivision 10, protecting the privacy of sexual assault victims by only
25.6 disclosing data collected under this section to the victim, persons whose work assignments
25.7 reasonably require access, and, at a sexual assault victim's request, police conducting a
25.8 criminal investigation;

25.9 (9) an investigation and resolution of a sexual assault complaint by campus disciplinary
25.10 authorities;

25.11 (10) a sexual assault victim's participation in and the presence of the victim's attorney
25.12 or other support person who is not a fact witness to the sexual assault at any meeting with
25.13 campus officials concerning the victim's sexual assault complaint or campus disciplinary
25.14 proceeding concerning a sexual assault complaint;

25.15 (11) ensuring that a sexual assault victim may decide when to repeat a description of
25.16 the incident of sexual assault;

25.17 (12) notice to a sexual assault victim of the availability of a campus or local program
25.18 providing sexual assault advocacy services and information on free legal resources and
25.19 services;

25.20 (13) notice to a sexual assault victim of the outcome of any campus disciplinary
25.21 proceeding concerning a sexual assault complaint, consistent with laws relating to data
25.22 practices;

25.23 (14) the complete and prompt assistance of campus authorities, at the direction of law
25.24 enforcement authorities, in obtaining, securing, and maintaining evidence in connection
25.25 with a sexual assault incident;

25.26 (15) the assistance of campus authorities in preserving for a sexual assault complainant
25.27 or victim materials relevant to a campus disciplinary proceeding;

25.28 (16) during and after the process of investigating a complaint and conducting a campus
25.29 disciplinary procedure, the assistance of campus personnel, in cooperation with the
25.30 appropriate law enforcement authorities, at a sexual assault victim's request, in shielding
25.31 the victim from unwanted contact with the alleged assailant, including transfer of the victim
25.32 to alternative classes or to alternative college-owned housing, if alternative classes or housing
25.33 are available and feasible;

(17) forbidding retaliation, and establishing a process for investigating complaints of retaliation, against sexual assault victims by campus authorities, the accused, organizations affiliated with the accused, other students, and other employees;

(18) at the request of the victim, providing students who reported sexual assaults to the institution and subsequently choose to transfer to another postsecondary institution with information about resources for victims of sexual assault at the institution to which the victim is transferring; and

(19) consistent with laws governing access to student records, providing a student who reported an incident of sexual assault with access to the student's description of the incident as it was reported to the institution, including if that student transfers to another postsecondary institution.

Sec. 4. Minnesota Statutes 2018, section 136A.101, subdivision 5a, is amended to read:

Subd. 5a. **Assigned family responsibility.** "Assigned family responsibility" means the amount of a family's contribution to a student's cost of attendance, as determined by a federal need analysis. For dependent students, the assigned family responsibility is ~~84~~ 82 percent of the parental contribution. For independent students with dependents other than a spouse, the assigned family responsibility is ~~76~~ 74 percent of the student contribution. For independent students without dependents other than a spouse, the assigned family responsibility is ~~40~~ 38 percent of the student contribution.

Sec. 5. Minnesota Statutes 2018, section 136A.121, subdivision 6, is amended to read:

Subd. 6. **Cost of attendance.** (a) The recognized cost of attendance consists of: (1) an allowance specified in law for living and miscellaneous expenses, and (2) an allowance for tuition and fees equal to the lesser of the average tuition and fees charged by the institution, or a tuition and fee maximum if one is established in law. If no living and miscellaneous expense allowance is established in law, the allowance is equal to ~~101~~ 106 percent of the federal poverty guidelines for a one person household in Minnesota for nine months. If no tuition and fee maximum is established in law, the allowance for tuition and fees is equal to the lesser of: (1) the average tuition and fees charged by the institution, and (2) for two-year programs, an amount equal to the highest tuition and fees charged at a public two-year institution, or for four-year programs, an amount equal to the highest tuition and fees charged at a public university.

(b) For a student registering for less than full time, the office shall prorate the cost of attendance to the actual number of credits for which the student is enrolled.

(c) The recognized cost of attendance for a student who is confined to a Minnesota correctional institution shall consist of the tuition and fee component in paragraph (a), with no allowance for living and miscellaneous expenses.

(d) For the purpose of this subdivision, "fees" include only those fees that are mandatory and charged to full-time resident students attending the institution. Fees do not include charges for tools, equipment, computers, or other similar materials where the student retains ownership. Fees include charges for these materials if the institution retains ownership. Fees do not include optional or punitive fees.

Sec. 6. Minnesota Statutes 2018, section 136A.1215, subdivision 4, is amended to read:

Subd. 4. **Maximum grant amounts.** (a) The amount of a grant under this section equals the tuition and fees at the student's postsecondary institution, minus:

(1) any Pell or state grants the student receives; and

(2) any institutional aid the student receives.

(b) If appropriations are insufficient to provide the full amount calculated under paragraph (a) to all eligible applicants, the commissioner must reduce the ~~grants of all~~ maximum grant amount available to recipients proportionally.

Sec. 7. **[136A.123] MN RECONNECT PROGRAM.**

Subdivision 1. Program administration. The commissioner of the Office of Higher Education must administer a credential completion program for adult learners consistent with this section.

Subd. 2. Definitions. (a) For the purpose of this section, the terms defined in this subdivision have the meanings given them.

(b) "Cost of attendance" means tuition and required fees charged by the institution and the campus-based budget used for federal financial aid for food, housing, books, supplies, transportation, and miscellaneous expenses.

(c) "Eligible student" means an individual who:

(1) meets the eligibility requirements in section 136A.121, subdivision 2, paragraphs (a), clauses (1), (2), (4), and (5), and (b);

(2) is 25 years old or older and under 62;

(3) has previously completed a minimum of 15 credits in a certificate or degree-seeking program that have been accepted by a participating institution;

(4) has not enrolled in any Minnesota institution in the two academic years prior to enrollment at a participating institution;

(5) has not completed a certificate, diploma, or degree of 16 credits or longer in length prior to enrollment at a participating institution in this program;

(6) has enrolled in three or more credits each term;

(7) reports a family adjusted gross income of \$85,000 or less; and

(8) has applied for the grant on the form required by the commissioner.

(d) "Grant" means funds awarded under this section.

(e) "Participating institution" means a two-year institution within the Minnesota State Colleges and Universities System selected under subdivision 5.

(f) "Program" means a certificate, diploma, or degree program offered by a participating institution.

(g) To the extent not inconsistent with this section, the definitions in section 136A.101 apply to this section.

Subd. 3. **Student application.** Application for a grant must be made by a FAFSA or state aid application and any additional form required by the commissioner. Applications are due on a schedule set by the commissioner.

Subd. 4. **Student grants.** (a) The commissioner must, to the extent funds are available, make grants to eligible students to attend a program at a participating institution. The amount of a grant per spring or fall academic term is the lesser of \$1,000 or the difference between the cost of attendance and other scholarships or grants received by the student. If the appropriation is greater than the projected grants for the spring and fall terms, the commissioner may award grants up to \$1,000 per student for summer or interim terms.

(b) An eligible student may renew a student grant by applying for renewal on a form provided by the commissioner and on a schedule set by the commissioner. An eligible student may receive a student grant under this section for up to six semesters or the equivalent.

Subd. 5. **Participating institutions.** (a) A two-year institution within the Minnesota State Colleges and Universities System may apply to become a participating institution. The commissioner, in conjunction with a selection committee, shall select institutions

29.1 through a competitive application process. Priority must be given to institutions participating
 29.2 in the most recently completed fiscal year.

29.3 (b) Participating institutions must:

29.4 (1) demonstrate a commitment to adult learners through adoption of best practice policies,
 29.5 programs, and services; and

29.6 (2) complete an adult learner assessment prior to participation.

29.7 Subd. 6. **Institutional grants.** Participating institutions may receive funds for student
 29.8 advising, resolving student financial holds, and improving services to eligible students.

29.9 Sec. 8. Minnesota Statutes 2018, section 136A.1275, subdivision 2, is amended to read:

29.10 Subd. 2. **Eligibility.** To be eligible for a grant under this section, a teacher candidate
 29.11 must:

29.12 (1) be enrolled in a Professional Educator Licensing and Standards Board-approved
 29.13 teacher preparation program that requires at least 12 weeks of student teaching in order to
 29.14 be recommended for ~~a full professional~~ any Tier 3 teaching license;

29.15 (2) demonstrate financial need based on criteria established by the commissioner under
 29.16 subdivision 3;

29.17 ~~(3) intend to teach in a shortage area or belong to an underrepresented racial or ethnic~~
 29.18 ~~group; and~~

29.19 ~~(4) (3)~~ (3) be meeting satisfactory academic progress as defined under section 136A.101,
 29.20 subdivision 10; and

29.21 (4) intend to teach in a shortage area or belong to a racial or ethnic group underrepresented
 29.22 in the Minnesota teacher workforce. Intent can be documented based on the teacher license
 29.23 field the student is pursuing or a statement of intent to teach in an economic development
 29.24 region defined as a shortage area in the year the student receives a grant.

29.25 Sec. 9. Minnesota Statutes 2018, section 136A.1275, subdivision 3, is amended to read:

29.26 Subd. 3. **Administration; repayment.** (a) The commissioner must establish an
 29.27 application process and other guidelines for implementing this program, ~~including repayment~~
 29.28 ~~responsibilities for stipend recipients who do not complete student teaching or who leave~~
 29.29 ~~Minnesota to teach in another state during the first year after student teaching.~~

(b) The commissioner must determine each academic year the stipend amount up to \$7,500 based on the amount of available funding, the number of eligible applicants, and the financial need of the applicants.

(c) The percentage of the total award funds available at the beginning of the fiscal year reserved for teacher candidates who identify as belonging to ~~an underrepresented~~ a racial or ethnic group underrepresented in the Minnesota teacher workforce must be equal to or greater than the total percentage of students of ~~underrepresented~~ racial or ethnic groups underrepresented in the Minnesota teacher workforce as measured under section 120B.35, subdivision 3. If this percentage cannot be met because of a lack of qualifying candidates, the remaining amount may be awarded to teacher candidates who intend to teach in a shortage area.

Sec. 10. Minnesota Statutes 2018, section 136A.15, subdivision 8, is amended to read:

Subd. 8. **Eligible student.** "Eligible student" means a student who is officially registered or accepted for enrollment at an eligible institution in Minnesota or a Minnesota resident who is officially registered as a student or accepted for enrollment at an eligible institution in another state or province. Non-Minnesota residents are eligible students if they are enrolled or accepted for enrollment in a minimum of one course of at least 30 days in length during the academic year that requires physical attendance at an eligible institution located in Minnesota. Non-Minnesota resident students enrolled exclusively during the academic year in correspondence courses or courses offered over the Internet are not eligible students. Non-Minnesota resident students not physically attending classes in Minnesota due to enrollment in a study abroad program for 12 months or less are eligible students. Non-Minnesota residents enrolled in study abroad programs exceeding 12 months are not eligible students. An eligible student, for section 136A.1701, means a student who gives informed consent authorizing the disclosure of data specified in section 136A.162, paragraph (c), to a consumer credit reporting agency.

Sec. 11. Minnesota Statutes 2018, section 136A.16, subdivision 1, is amended to read:

Subdivision 1. **Designation.** Notwithstanding chapter 16C, the office is designated as the administrative agency for carrying out the purposes and terms of sections 136A.15 to ~~136A.1702~~ 136A.1704. The office may establish one or more loan programs.

31.1 Sec. 12. Minnesota Statutes 2018, section 136A.16, subdivision 2, is amended to read:

31.2 Subd. 2. **Rules, policies, and conditions.** The office shall adopt policies and may
31.3 prescribe appropriate rules and conditions to carry out the purposes of sections 136A.15 to
31.4 ~~136A.1702~~ 136A.1704. ~~The policies and rules except as they relate to loans under section~~
31.5 ~~136A.1701 must be compatible with the provisions of the National Vocational Student Loan~~
31.6 ~~Insurance Act of 1965 and the provisions of title IV of the Higher Education Act of 1965,~~
31.7 ~~and any amendments thereof.~~

31.8 Sec. 13. Minnesota Statutes 2018, section 136A.16, subdivision 5, is amended to read:

31.9 Subd. 5. **Agencies.** The office may contract with loan servicers, collection agencies,
31.10 credit bureaus, or any other person, to carry out the purposes of sections 136A.15 to
31.11 ~~136A.1702~~ 136A.1704.

31.12 Sec. 14. Minnesota Statutes 2018, section 136A.16, subdivision 8, is amended to read:

31.13 Subd. 8. **Investment.** Money made available to the office that is not immediately needed
31.14 for the purposes of sections 136A.15 to ~~136A.1702~~ 136A.1704 may be invested by the
31.15 office. The money must be invested in bonds, certificates of indebtedness, and other fixed
31.16 income securities, except preferred stocks, which are legal investments for the permanent
31.17 school fund. The money may also be invested in prime quality commercial paper that is
31.18 eligible for investment in the state employees retirement fund. All interest and profits from
31.19 such investments inure to the benefit of the office or may be pledged for security of bonds
31.20 issued by the office or its predecessors.

31.21 Sec. 15. Minnesota Statutes 2018, section 136A.16, subdivision 9, is amended to read:

31.22 Subd. 9. **Staff.** The office may employ the professional and clerical staff the commissioner
31.23 deems necessary for the proper administration of the loan programs established and defined
31.24 by sections 136A.15 to ~~136A.1702~~ 136A.1704.

31.25 Sec. 16. Minnesota Statutes 2018, section 136A.162, is amended to read:

31.26 **136A.162 CLASSIFICATION OF DATA.**

31.27 (a) Except as provided in paragraphs (b) and (c), data on applicants for financial assistance
31.28 collected and used by the office for student financial aid programs administered by that
31.29 office are private data on individuals as defined in section 13.02, subdivision 12.

(b) Data on applicants may be disclosed to the commissioner of human services to the extent necessary to determine eligibility under section 136A.121, subdivision 2, clause (5).

(c) The following data collected in the Minnesota supplemental loan program under ~~section~~ sections 136A.1701 and 136A.1704 may be disclosed to a consumer credit reporting agency only if the borrower and the cosigner give informed consent, according to section 13.05, subdivision 4, at the time of application for a loan:

(1) the lender-assigned borrower identification number;

(2) the name and address of borrower;

(3) the name and address of cosigner;

(4) the date the account is opened;

(5) the outstanding account balance;

(6) the dollar amount past due;

(7) the number of payments past due;

(8) the number of late payments in previous 12 months;

(9) the type of account;

(10) the responsibility for the account; and

(11) the status or remarks code.

Sec. 17. Minnesota Statutes 2018, section 136A.1701, subdivision 7, is amended to read:

Subd. 7. **Repayment of loans.** ~~(a) The office shall establish repayment procedures for loans made under this section, but in no event shall the period of permitted repayment for SELF II or SELF III loans exceed ten years from the eligible student's termination of the student's postsecondary academic or vocational program, or 15 years from the date of the student's first loan under this section, whichever is less.~~ in accordance with the policies, rules, and conditions authorized under section 136A.16, subdivision 2. The office will take into consideration the loan limits and current financial market conditions when establishing repayment terms.

~~(b) For SELF IV loans, eligible students with aggregate principal loan balances from all SELF phases that are less than \$18,750 shall have a repayment period not exceeding ten years from the eligible student's graduation or termination date. For SELF IV loans, eligible students with aggregate principal loan balances from all SELF phases of \$18,750 or greater shall have a repayment period not exceeding 15 years from the eligible student's graduation~~

33.1 ~~or termination date. For SELF IV loans, the loans shall enter repayment no later than seven~~
 33.2 ~~years after the first disbursement date on the loan.~~

33.3 ~~(c) For SELF loans from phases after SELF IV, eligible students with aggregate principal~~
 33.4 ~~loan balances from all SELF phases that are:~~

33.5 ~~(1) less than \$20,000, must have a repayment period not exceeding ten years from the~~
 33.6 ~~eligible student's graduation or termination date;~~

33.7 ~~(2) \$20,000 up to \$40,000, must have a repayment period not exceeding 15 years from~~
 33.8 ~~the eligible student's graduation or termination date; and~~

33.9 ~~(3) \$40,000 or greater, must have a repayment period not exceeding 20 years from the~~
 33.10 ~~eligible student's graduation or termination date. For SELF loans from phases after SELF~~
 33.11 ~~IV, the loans must enter repayment no later than nine years after the first disbursement date~~
 33.12 ~~of the loan.~~

33.13 Sec. 18. **[136A.1788] STUDENT LOAN DEBT COUNSELING.**

33.14 Subdivision 1. **Grant.** A program is established under the Office of Higher Education
 33.15 to provide a grant to a Minnesota-based nonprofit qualified debt counseling organization
 33.16 to provide individual student loan debt repayment counseling to borrowers who are Minnesota
 33.17 residents concerning loans obtained to attend a postsecondary institution. The number of
 33.18 individuals receiving counseling may be limited to those capable of being served with
 33.19 available appropriations for that purpose. A goal of the counseling program is to provide
 33.20 two counseling sessions to at least 75 percent of borrowers receiving counseling.

33.21 The purpose of the counseling is to assist borrowers to:

33.22 (1) understand their loan and repayment options;

33.23 (2) manage loan repayment; and

33.24 (3) develop a workable budget based on the borrower's full financial situation regarding
 33.25 income, expenses, and other debt.

33.26 Subd. 2. **Qualified debt counseling organization.** A qualified debt counseling
 33.27 organization is an organization that:

33.28 (1) has experience in providing individualized student loan counseling;

33.29 (2) employs certified financial counselors; and

33.30 (3) is based in Minnesota and has offices at multiple rural and metropolitan area locations
 33.31 in the state to provide in-person counseling.

34.1 Subd. 3. **Grant application and award.** (a) Applications for a grant shall be on a form
34.2 created by the commissioner and on a schedule set by the commissioner. Among other
34.3 provisions, the application must include a description of:

34.4 (1) the characteristics of borrowers to be served;

34.5 (2) the services to be provided and a timeline for implementation of the services;

34.6 (3) how the services provided will help borrowers manage loan repayment;

34.7 (4) specific program outcome goals and performance measures for each goal; and

34.8 (5) how the services will be evaluated to determine whether the program goals were
34.9 met.

34.10 (b) The commissioner shall select one grant recipient for a two-year award every two
34.11 years. A grant may be renewed biennially.

34.12 Subd. 4. **Program evaluation.** (a) The grant recipient must submit a report to the
34.13 commissioner by January 15 of the second year of the grant award. The report must evaluate
34.14 and measure the extent to which program outcome goals have been met.

34.15 (b) The grant recipient must collect, analyze, and report on participation and outcome
34.16 data that enable the office to verify the outcomes.

34.17 (c) The evaluation must include information on the number of borrowers served with
34.18 on-time student loan payments, the number who brought their loans into good standing, the
34.19 number of student loan defaults, the number who developed a monthly budget plan, and
34.20 other information required by the commissioner. Recipients of the counseling must be
34.21 surveyed on their opinions about the usefulness of the counseling and the survey results
34.22 must be included in the report.

34.23 Subd. 5. **Report to legislature.** By February 1 of the second year of each grant award,
34.24 the commissioner must submit a report to the committees in the legislature with jurisdiction
34.25 over higher education finance regarding grant program outcomes.

34.26 Sec. 19. Minnesota Statutes 2018, section 136A.1789, subdivision 1, is amended to read:

34.27 Subdivision 1. **Definitions.** (a) For purposes of this section, the terms in this subdivision
34.28 have the meanings given them.

34.29 (b) "Qualified aircraft technician" means an individual who (1) has earned an associate's
34.30 or bachelor's degree preparing individuals to obtain an aviation mechanic's certificate from
34.31 the Federal Aviation Administration from a postsecondary institution located in Minnesota,

35.1 and (2) has obtained an aviation mechanic's certificate from the Federal Aviation
35.2 Administration.

35.3 (c) "Qualified education loan" means a government, commercial, or foundation loan
35.4 used by an individual for actual costs paid for tuition ~~to a postsecondary institution located~~
35.5 ~~in Minnesota for a professional flight training degree~~ and reasonable educational and living
35.6 expenses related to the postsecondary education of the qualified aircraft technician or
35.7 qualified pilot.

35.8 (d) "Qualified pilot" means an individual who (1) has earned an associate's or bachelor's
35.9 degree ~~in professional flight training~~ preparing individuals to obtain an airline transport
35.10 pilot certificate from a postsecondary institution located in Minnesota, and (2) is in the
35.11 process of obtaining or has obtained an airline transport pilot certificate.

35.12 Sec. 20. Minnesota Statutes 2018, section 136A.1789, subdivision 3, is amended to read:

35.13 Subd. 3. **Eligibility.** (a) To be eligible to participate in the loan forgiveness program
35.14 under this section, an individual must:

35.15 (1) be a qualified pilot or qualified aircraft technician;

35.16 (2) have qualified education loans;

35.17 (3) reside in Minnesota; and

35.18 (4) submit an application to the commissioner in the form and manner prescribed by the
35.19 commissioner.

35.20 (b) An applicant selected to participate must sign a contract to agree to serve a ~~minimum~~
35.21 ~~one-year~~ five-year full-time service obligation according to subdivision 4. To complete the
35.22 service obligation, the applicant must work full time in Minnesota as a qualified pilot or
35.23 qualified aircraft technician. A participant must complete one year of service under this
35.24 paragraph for each year the participant receives an award under this section.

35.25 Sec. 21. Minnesota Statutes 2018, section 136A.1789, subdivision 5, is amended to read:

35.26 Subd. 5. **Loan forgiveness.** (a) The commissioner may select eligible applicants each
35.27 year for participation in the aviation degree loan forgiveness program, within the limits of
35.28 available funding. Applicants are responsible for securing their own qualified education
35.29 loans.

35.30 (b) For each year that the participant meets the eligibility requirements under subdivision
35.31 3, the commissioner must make annual disbursements directly to:

(1) a selected qualified pilot of \$5,000 or the balance of the participant's qualified education loans, whichever is less; and

(2) a selected qualified aircraft technician of \$3,000 or the balance of the participant's qualified education loans, whichever is less.

(c) An individual may receive disbursements under this section for a maximum of five years.

(d) The participant must provide the commissioner with verification that the full amount of the loan repayment disbursement received by the participant has been applied toward the designated qualified education loan. After each disbursement, verification must be received by the commissioner and approved before the next repayment disbursement is made.

(e) If the participant receives a disbursement in the participant's fifth year of eligibility, the participant must provide the commissioner with verification that the full amount of the participant's final loan repayment disbursement was applied toward the designated qualified education loan. If a participant does not provide the verification as required under this paragraph within ~~six~~ 12 months of receipt of the final disbursement, the commissioner must collect from the participant the total amount of the final disbursement paid to the participant under the loan forgiveness program plus interest at a rate established according to section 270C.40. The commissioner must deposit the money collected in the aviation degree loan forgiveness program account.

Sec. 22. Minnesota Statutes 2018, section 136A.64, subdivision 1, is amended to read:

Subdivision 1. **Schools to provide information.** As a basis for registration, schools shall provide the office with such information as the office needs to determine the nature and activities of the school, including but not limited to the following which shall be accompanied by an affidavit attesting to its accuracy and truthfulness:

(1) articles of incorporation, constitution, bylaws, or other operating documents;

(2) a duly adopted statement of the school's mission and goals;

(3) evidence of current school or program licenses granted by departments or agencies of any state;

(4) a fiscal balance sheet on an accrual basis, or a certified audit of the immediate past fiscal year including any management letters provided by the independent auditor or, if the school is a public institution outside Minnesota, an income statement for the immediate past fiscal year;

- 37.1 (5) all current promotional and recruitment materials and advertisements; and
- 37.2 (6) the current school catalog and, if not contained in the catalog:
- 37.3 (i) the members of the board of trustees or directors, if any;
- 37.4 (ii) the current institutional officers;
- 37.5 (iii) current full-time and part-time faculty with degrees held or applicable experience;
- 37.6 (iv) a description of all school facilities;
- 37.7 (v) a description of all current course offerings;
- 37.8 (vi) all requirements for satisfactory completion of courses, programs, and degrees;
- 37.9 (vii) the school's policy about freedom or limitation of expression and inquiry;
- 37.10 (viii) a current schedule of fees, charges for tuition, required supplies, student activities,
- 37.11 housing, and all other standard charges;
- 37.12 (ix) the school's policy about refunds and adjustments;
- 37.13 (x) the school's policy about granting credit for prior education, training, and experience;
- 37.14 ~~and~~
- 37.15 (xi) the school's policies about student admission, evaluation, suspension, and dismissal;
- 37.16 and
- 37.17 (xii) the school's disclosure to students on the student complaint process under section
- 37.18 136A.672.

37.19 Sec. 23. Minnesota Statutes 2018, section 136A.64, subdivision 5, is amended to read:

37.20 Subd. 5. **Public information.** All information submitted to the office is public information

37.21 except financial records, student complaint data, and accreditation records and information

37.22 reports. Except for accreditation reports, the office may disclose financial any records or

37.23 information submitted to the office:

37.24 (1) to law enforcement officials; or

37.25 (2) in connection with a legal or administrative proceeding to:

37.26 (i) to defend its decision to approve or disapprove granting of degrees or the use of a

37.27 name or;

37.28 (ii) defend its ~~decisions~~ decision to revoke the institution's approval at a hearing under

37.29 chapter 14 or other legal proceedings; or

38.1 (iii) enforce a requirement of law.

38.2 Sec. 24. Minnesota Statutes 2018, section 136A.64, is amended by adding a subdivision
38.3 to read:

38.4 Subd. 8. **Disclosure.** Schools must disclose on their website, student handbook, and
38.5 student catalog the student complaint process under section 136A.672 to students.

38.6 Sec. 25. Minnesota Statutes 2018, section 136A.645, is amended to read:

38.7 **136A.645 SCHOOL CLOSURE.**

38.8 (a) When a school ~~decides~~ intends to cease postsecondary education operations, ~~it must~~
38.9 ~~cooperate with the office in assisting students to find alternative means to complete their~~
38.10 ~~studies with a minimum of disruption, and inform the office of the following~~ announces its
38.11 closure, or is informed by the office that the office anticipates the school's closure due to
38.12 its registration status or ability to meet criteria for approval under section 136A.65, the
38.13 school must provide the office:

38.14 ~~(1) the planned date for termination of postsecondary education operations;~~

38.15 ~~(2) the planned date for the transfer of the student records;~~

38.16 ~~(3) confirmation of the name and address of the organization to receive and hold the~~
38.17 ~~student records; and~~

38.18 ~~(4) the official at the organization receiving the student records who is designated to~~
38.19 ~~provide official copies of records or transcripts upon request.~~

38.20 (1) a notice of closure, including the name of the school, the name of the school owner,
38.21 an active mailing address and telephone number that the school owner may be reached at
38.22 after the school physically closes, the name of the school director, and the planned date for
38.23 termination of postsecondary operations;

38.24 (2) a report of all students currently enrolled and all students enrolled within the prior
38.25 120 days, including the following information for each student: name, address, school e-mail
38.26 address, alternate e-mail address, program of study, number of credits completed, number
38.27 of credits remaining, and enrollment status at closure;

38.28 (3) a report of refunds due to any student and the amount due;

38.29 (4) a written statement from the school's owner or designee affirming that all recruitment
38.30 efforts, school marketing, advertisement, solicitation, and enrollment of new students has
38.31 ceased;

39.1 (5) a copy of any communication between the school's accreditors about the school
39.2 closure;

39.3 (6) confirmation that the requirements for student records under section 136A.68 have
39.4 been satisfied, including:

39.5 (i) the planned date for the transfer of the student records;

39.6 (ii) confirmation of the name and address of the organization to receive and hold the
39.7 student records; and

39.8 (iii) the official at the organization receiving the student records who is designated to
39.9 provide official copies of records or transcripts upon request;

39.10 (7) academic information, including the school's most recent catalog, all course syllabi,
39.11 and faculty credential information; and

39.12 (8) copies of any teach-out, transfer, or train-out agreement between the school and a
39.13 new school for students to be able to complete their studies. A teach-out fulfills the original
39.14 contract or agreement between the closing school and the student. If a teach-out is arranged
39.15 for another approved school to do the remaining occupational training, that other school
39.16 must (i) provide comparable education and training and (ii) agree that students transferring
39.17 from the closing school pay only what the cost of tuition and fees remain unpaid according
39.18 to the terms and conditions in the enrollment agreement entered into between the student
39.19 and the closing school.

39.20 ~~(b) Upon notice from a school of its intention to cease operations, the office shall notify~~
39.21 ~~the school of the date on which it must cease the enrollment of students and all postsecondary~~
39.22 ~~educational operations.~~

39.23 (b) Without limitation as to other circumstance, a school shall be deemed to have ceased
39.24 operations when the school:

39.25 (1) has an unscheduled nonemergency closure or cancellation of classes for more than
39.26 24 hours without prior notice to the office;

39.27 (2) announces it is closed or closing; or

39.28 (3) files for bankruptcy.

39.29 (c) When a school is deemed to have ceased operations, the office shall provide the
39.30 school a reasonable time to correct student records and grant credentials. After that time,
39.31 the office must revoke the school's registration. This revocation is not appealable under
39.32 section 136A.65, subdivision 8.

Sec. 26. Minnesota Statutes 2018, section 136A.646, is amended to read:

136A.646 ADDITIONAL SECURITY.

(a) New schools that have been granted conditional approval for degrees or names to allow them the opportunity to apply for and receive accreditation under section 136A.65, subdivision 7, ~~or shall provide a surety bond in a sum equal to ten percent of the net revenue from tuition and fees in the registered institution's prior fiscal year, but in no case shall the bond be less than \$10,000.~~

(b) Any registered institution that is notified by the United States Department of Education that it has fallen below minimum financial standards and that its continued participation in Title IV will be conditioned upon its satisfying either the Zone Alternative, Code of Federal Regulations, title 34, section 668.175, paragraph (f), or a Letter of Credit Alternative, Code of Federal Regulations, title 34, section 668.175, paragraph (c), shall provide a surety bond in a sum equal to the "letter of credit" required by the United States Department of Education in the Letter of Credit Alternative, but in no event shall such bond be less than \$10,000 nor more than \$250,000. If the letter of credit required by the United States Department of Education is higher than ten percent of the Title IV, Higher Education Act program funds received by the institution during its most recently completed fiscal year, the office shall reduce the office's surety requirement to represent ten percent of the Title IV, Higher Education Act program funds received by the institution during its most recently completed fiscal year, subject to the minimum and maximum in this paragraph.

~~(b)~~ (c) In lieu of a bond, the applicant may deposit with the commissioner of management and budget:

(1) a sum equal to the amount of the required surety bond in cash;

(2) securities, as may be legally purchased by savings banks or for trust funds, in an aggregate market value equal to the amount of the required surety bond; or

(3) an irrevocable letter of credit issued by a financial institution to the amount of the required surety bond.

~~(e)~~ (d) The surety of any bond may cancel it upon giving 60 days' notice in writing to the office and shall be relieved of liability for any breach of condition occurring after the effective date of cancellation.

~~(d)~~ (e) In the event of a school closure, the additional security must first be used to destroy any private educational data under section 13.32 left at a physical campus in Minnesota after all other governmental agencies have recovered or retrieved records under

41.1 their record retention policies. Any remaining funds must then be used to reimburse tuition
41.2 and fee costs to students that were enrolled at the time of the closure or had withdrawn in
41.3 the previous 120 calendar days but did not graduate. Priority for refunds will be given to
41.4 students in the following order:

41.5 (1) cash payments made by the student or on behalf of a student;

41.6 (2) private student loans; and

41.7 (3) Veteran Administration education benefits that are not restored by the Veteran
41.8 Administration. If there are additional security funds remaining, the additional security
41.9 funds may be used to cover any administrative costs incurred by the office related to the
41.10 closure of the school.

41.11 Sec. 27. Minnesota Statutes 2018, section 136A.672, is amended by adding a subdivision
41.12 to read:

41.13 Subd. 6. **Private information.** Student complaint data are private data on individuals,
41.14 as defined in section 13.02, subdivision 12. The office may disclose student complaint data
41.15 as provided in section 136A.64, subdivision 5.

41.16 Sec. 28. Minnesota Statutes 2018, section 136A.821, is amended by adding a subdivision
41.17 to read:

41.18 Subd. 18. **Clock hour.** "Clock hour" means a period of time consisting of a 50- to
41.19 60-minute class, lecture, or recitation in a 60-minute period; a 50- to 60-minute
41.20 faculty-supervised laboratory, shop training, or internship in a 60-minute period; or 60
41.21 minutes of preparation in a correspondence course. If a school seeks to determine the number
41.22 of clock hours in an educational program by aggregating the number of minutes in that
41.23 program, it must divide those minutes by 60.

41.24 Sec. 29. Minnesota Statutes 2018, section 136A.821, is amended by adding a subdivision
41.25 to read:

41.26 Subd. 19. **Student record.** "Student record" means a transcript or record of student
41.27 attendance in a program that includes, at a minimum, the student's name; the student's
41.28 address; the school's name; the school's address; the title of the course or program; the total
41.29 number of hours or courses completed; the dates of enrollment and attendance; the grade
41.30 record of each course; any credential awarded; and cumulative grade for the program.

42.1 Sec. 30. Minnesota Statutes 2018, section 136A.822, subdivision 6, is amended to read:

42.2 Subd. 6. **Bond.** (a) No license shall be issued to any private career school which
42.3 maintains, conducts, solicits for, or advertises within the state of Minnesota any program,
42.4 unless the applicant files with the office a continuous corporate surety bond written by a
42.5 company authorized to do business in Minnesota conditioned upon the faithful performance
42.6 of all contracts and agreements with students made by the applicant.

42.7 (b)(1) The amount of the surety bond shall be ten percent of the preceding year's net
42.8 ~~income~~ revenue from student tuition, fees, and other required institutional charges collected,
42.9 but in no event less than \$10,000, except that a private career school may deposit a greater
42.10 amount at its own discretion. A private career school in each annual application for licensure
42.11 must compute the amount of the surety bond and verify that the amount of the surety bond
42.12 complies with this subdivision. A private career school that operates at two or more locations
42.13 may combine net ~~income~~ revenue from student tuition, fees, and other required institutional
42.14 charges collected for all locations for the purpose of determining the annual surety bond
42.15 requirement. The net revenue from tuition and fees used to determine the amount of the
42.16 surety bond required for a private career school having a license for the sole purpose of
42.17 recruiting students in Minnesota shall be only that paid to the private career school by the
42.18 students recruited from Minnesota.

42.19 (2) A person required to obtain a private career school license due to the use of
42.20 "academy," "institute," "college," or "university" in its name and which is also licensed by
42.21 another state agency or board, except not including those schools licensed exclusively in
42.22 order to participate in state grants or SELF loan financial aid programs, shall be required
42.23 to provide a school bond of \$10,000.

42.24 (c) The bond shall run to the state of Minnesota and to any person who may have a cause
42.25 of action against the applicant arising at any time after the bond is filed and before it is
42.26 canceled for breach of any contract or agreement made by the applicant with any student.
42.27 The aggregate liability of the surety for all breaches of the conditions of the bond shall not
42.28 exceed the principal sum deposited by the private career school under paragraph (b). The
42.29 surety of any bond may cancel it upon giving 60 days' notice in writing to the office and
42.30 shall be relieved of liability for any breach of condition occurring after the effective date
42.31 of cancellation.

42.32 (d) In lieu of bond, the applicant may deposit with the commissioner of management
42.33 and budget a sum equal to the amount of the required surety bond in cash, an irrevocable
42.34 letter of credit issued by a financial institution equal to the amount of the required surety

43.1 bond, or securities as may be legally purchased by savings banks or for trust funds in an
43.2 aggregate market value equal to the amount of the required surety bond.

43.3 (e) Failure of a private career school to post and maintain the required surety bond or
43.4 deposit under paragraph (d) may result in denial, suspension, or revocation of the school's
43.5 license.

43.6 Sec. 31. Minnesota Statutes 2018, section 136A.822, subdivision 10, is amended to read:

43.7 Subd. 10. **Catalog, brochure, or electronic display.** Before a license is issued to a
43.8 private career school, the private career school shall furnish to the office a catalog, brochure,
43.9 or electronic display including:

43.10 (1) identifying data, such as volume number and date of publication;

43.11 (2) name and address of the private career school and its governing body and officials;

43.12 (3) a calendar of the private career school showing legal holidays, beginning and ending
43.13 dates of each course quarter, term, or semester, and other important dates;

43.14 (4) the private career school policy and regulations on enrollment including dates and
43.15 specific entrance requirements for each program;

43.16 (5) the private career school policy and regulations about leave, absences, class cuts,
43.17 make-up work, tardiness, and interruptions for unsatisfactory attendance;

43.18 (6) the private career school policy and regulations about standards of progress for the
43.19 student including the grading system of the private career school, the minimum grades
43.20 considered satisfactory, conditions for interruption for unsatisfactory grades or progress, a
43.21 description of any probationary period allowed by the private career school, and conditions
43.22 of reentrance for those dismissed for unsatisfactory progress;

43.23 (7) the private career school policy and regulations about student conduct and conditions
43.24 for dismissal for unsatisfactory conduct;

43.25 (8) a detailed schedule of fees, charges for tuition, books, supplies, tools, student
43.26 activities, laboratory fees, service charges, rentals, deposits, and all other charges;

43.27 (9) the private career school policy and regulations, including an explanation of section
43.28 136A.827, about refunding tuition, fees, and other charges if the student does not enter the
43.29 program, withdraws from the program, or the program is discontinued;

43.30 (10) a description of the available facilities and equipment;

(11) a course outline syllabus for each course offered showing course objectives, subjects or units in the course, type of work or skill to be learned, and approximate time, hours, or credits to be spent on each subject or unit;

(12) the private career school policy and regulations about granting credit for previous education and preparation;

(13) a notice to students relating to the transferability of any credits earned at the private career school to other institutions;

(14) a procedure for investigating and resolving student complaints; ~~and~~

(15) the name and address of the office; and

(16) the student complaint process and rights under section 136A.8295.

A private career school that is exclusively a distance education school is exempt from clauses (3) and (5).

Sec. 32. Minnesota Statutes 2018, section 136A.822, subdivision 12, is amended to read:

Subd. 12. **Permanent student records.** A private career school licensed under sections 136A.82 to 136A.834 and located in Minnesota shall maintain a permanent student record for each student for 50 years from the last date of the student's attendance. A private career school licensed under this chapter and offering distance instruction to a student located in Minnesota shall maintain a permanent record for each Minnesota student for 50 years from the last date of the student's attendance. Records include school transcripts, documents, and files containing student data about academic credits earned, courses completed, grades awarded, degrees awarded, and periods of attendance. To preserve permanent student records, a private career school shall submit a plan that meets the following requirements:

(1) at least one copy of the records must be held in a secure, fireproof depository;

(2) an appropriate official must be designated to provide a student with copies of records or a transcript upon request;

(3) an alternative method, approved by the office, of complying with clauses (1) and (2) must be established if the private career school ceases to exist; and

(4) a continuous surety bond or irrevocable letter of credit issued by a financial institution must be filed with the office in an amount not to exceed \$20,000 if the private career school has no binding agreement approved by the office, for preserving student records. The bond or irrevocable letter of credit shall run to the state of Minnesota. In the event of a school

45.1 closure, the surety bond or irrevocable letter of credit must be used by the office to retrieve,
45.2 recover, maintain, digitize, and destroy academic records.

45.3 Sec. 33. [136A.8225] SCHOOL CLOSURE.

45.4 (a) When a school intends to cease postsecondary education operations, announces its
45.5 closure, or is informed by the office that the office anticipates the school's closure due to
45.6 its licensure status or ability to meet criteria for approval under section 136A.822, subdivision
45.7 8, the school must provide the office:

45.8 (1) a notice of closure, including the name of the school, the name of the school owner,
45.9 an active mailing address and telephone number that the school owner may be reached at
45.10 after the school physically closes, the name of the school director, and the planned date for
45.11 termination of postsecondary operations;

45.12 (2) a report of all students currently enrolled and all students enrolled within the prior
45.13 120 days, including the following information for each student: name, address, school e-mail
45.14 address, alternate e-mail address, program of study, number of credits completed, number
45.15 of credits remaining, and enrollment status at closure;

45.16 (3) a report of refunds due to any student and the amount due;

45.17 (4) a written statement from the school's owner or designee affirming that all recruitment
45.18 efforts, school marketing, advertisement, solicitation, and enrollment of new students has
45.19 ceased;

45.20 (5) a copy of any communication between the school's accreditors about the school
45.21 closure;

45.22 (6) confirmation that the requirements for student records under section 136A.822,
45.23 subdivision 12, have been satisfied, including:

45.24 (i) the planned date for the transfer of the student records;

45.25 (ii) confirmation of the name and address of the organization to receive and hold the
45.26 student records; and

45.27 (iii) the official at the organization receiving the student records who is designated to
45.28 provide official copies of records or transcripts upon request;

45.29 (7) academic information, including the school's most recent catalog, all course syllabi,
45.30 and faculty credential information; and

(8) copies of any teach-out, transfer, or train-out agreement between the school and a new school for students to be able to complete their studies. A teach-out fulfills the original contract or agreement between the closing school and the student. If a teach-out is arranged for another approved school to do the remaining occupational training, that other school must (i) provide comparable education and training and (ii) agree that students transferring from the closing school pay only what the cost of tuition and fees remain unpaid according to the terms and conditions in the enrollment agreement entered into between the student and the closing school.

(b) Without limitation as to other circumstance, a school shall be deemed to have ceased operations when the school:

(1) has an unscheduled nonemergency closure or cancellation of classes for more than 24 hours without prior notice to the office;

(2) announces it is closed or closing; or

(3) files for bankruptcy.

(c) When a school is deemed to have ceased operations, the office shall provide the school a reasonable time to correct student records and grant credentials. After that time, the office must revoke the school's license. This revocation is not appealable under section 136A.829, subdivision 2.

Sec. 34. Minnesota Statutes 2018, section 136A.8295, is amended by adding a subdivision to read:

Subd. 6. **Disclosure.** Schools must disclose on their website, student handbook, and student catalog the student complaint process under this section to students.

Sec. 35. Minnesota Statutes 2018, section 136A.8295, is amended by adding a subdivision to read:

Subd. 7. **Private information.** Student complaint data are private data on individuals, as defined in section 13.02, subdivision 12. The office may disclose student complaint data to law enforcement officials or in connection with a legal or administrative proceeding commenced to enforce a requirement of law.

Sec. 36. Minnesota Statutes 2018, section 136A.87, is amended to read:

136A.87 PLANNING INFORMATION FOR POSTSECONDARY EDUCATION.

(a) The office shall make available to all residents beginning in 7th grade through adulthood information about planning and preparing for postsecondary opportunities. Information must be provided to all 7th grade students and their parents annually by September 30 about planning for their postsecondary education. The office may also provide information to high school students and their parents, to adults, and to out-of-school youth.

(b) The office shall gather and share information with students and parents about the dual credit acceptance policies of each Minnesota public and private college and university. The office shall gather and share information related to the acceptance policies for concurrent enrollment courses, postsecondary enrollment options courses, advanced placement courses, and international baccalaureate courses. This information must be shared on the office's website and included in the information under paragraph (a).

(c) The information provided under paragraph (a) may include the following:

(1) the need to start planning early;

(2) the availability of assistance in educational planning from educational institutions and other organizations;

(3) suggestions for studying effectively during high school;

(4) high school courses necessary to be adequately prepared for postsecondary education;

(5) encouragement to involve parents actively in planning for all phases of education;

(6) information about postsecondary education and training opportunities existing in the state, their respective missions and expectations for students, their preparation requirements, admission requirements, and student placement;

(7) ways to evaluate and select postsecondary institutions;

(8) the process of transferring credits among Minnesota postsecondary institutions and systems;

(9) the costs of postsecondary education and the availability of financial assistance in meeting these costs, including specific information about the Minnesota Promise;

(10) the interrelationship of assistance from student financial aid, public assistance, and job training programs; ~~and~~

(11) financial planning for postsecondary education; and

48.1 (12) postsecondary education options for students with intellectual and developmental
48.2 disabilities.

48.3 Sec. 37. Minnesota Statutes 2018, section 136F.20, is amended by adding a subdivision
48.4 to read:

48.5 Subd. 3. **Mental health services and health insurance information.** (a) The Board of
48.6 Trustees must contract with one or more independent mental health organizations to provide
48.7 mental health care, including by use of telemedicine, on campus at up to five state colleges.
48.8 To be eligible to apply for the program, the state college must employ one or more faculty
48.9 counselors. These grants are designed to build on the current support provided by faculty
48.10 counselors and are not a replacement for them. Mental health services must be provided
48.11 without charge to students who are uninsured, who have high co-payments, or whose health
48.12 insurance does not cover the service provided. A memorandum of understanding shall be
48.13 developed between the college and the mental health organization outlining the use of space
48.14 on campus, how the students will be notified of the service, how they will collaborate with
48.15 faculty counselors, the provision of services, and other items.

48.16 (b) A mental health organization providing mental health care under paragraph (a) must
48.17 also provide information and guidance to students seeking health insurance.

48.18 Sec. 38. **[136F.245] HUNGER FREE CAMPUS DESIGNATION.**

48.19 Subdivision 1. **Establishment.** A Hunger Free Campus designation for Minnesota State
48.20 community and technical colleges is established. In order to be awarded the designation, a
48.21 campus must meet the following minimum criteria:

48.22 (1) have an established on-campus food pantry or partnership with a local food bank to
48.23 provide regular, on-campus food distributions;

48.24 (2) provide information to students on SNAP, MFIP, and other programs that reduce
48.25 food insecurity;

48.26 (3) hold or participate in one hunger awareness event per academic year;

48.27 (4) have an established emergency assistance grant that is available to students; and

48.28 (5) establish a hunger task force that meets a minimum of three times per academic year.
48.29 The task force must include at least two students currently enrolled at the college.

49.1 Subd. 2. **Designation approval.** The statewide student association representing the
49.2 community and technical colleges shall create an application process and a nonmonetary
49.3 award, and provide final approval for the designation at each college.

49.4 Subd. 3. **Expiration.** This section expires July 1, 2023.

49.5 Sec. 39. **[136F.305] Z-DEGREES.**

49.6 Subdivision 1. **Definitions.** (a) For purposes of this section, the following terms have
49.7 the meanings given.

49.8 (b) "Custom textbook" means course materials that are compiled by a publisher at the
49.9 direction of a faculty member or, if applicable, the other adopting entity in charge of selecting
49.10 course materials for courses taught at a state college or university. Custom textbooks may
49.11 include items such as selections from original instructor materials, previously copyrighted
49.12 publisher materials, copyrighted third-party works, or elements unique to a specific state
49.13 college or university.

49.14 (c) "Incentive" means anything provided to faculty to identify, review, adapt, author, or
49.15 adopt open textbooks.

49.16 (d) "Open educational resources" are high-quality teaching, learning, and research
49.17 resources that reside in the public domain or have been released under an intellectual property
49.18 license that permits their free use and repurposing by others, and may include other resources
49.19 that are legally available and free of cost to students. Open educational resources include
49.20 course materials, modules, custom and open textbooks, articles, faculty-created content,
49.21 streaming videos, tests, software, and any other tools, materials, or techniques used to
49.22 support access to knowledge.

49.23 (e) "Open textbook" means a textbook that is distributed using an open copyright license
49.24 that at a minimum allows a student to obtain, retain, reuse, and redistribute the material at
49.25 no cost.

49.26 (f) "System office" means the Minnesota State Colleges and Universities system office.

49.27 (g) "Z-Degree" means a zero-textbook-cost associate's degree.

49.28 Subd. 2. **Requirement.** Three additional colleges must offer the opportunity to earn a
49.29 Z-Degree by academic year 2020-2021. A college's course offerings for its Z-Degree program
49.30 must include at least two distinct courses in each transfer curriculum goal area and at least
49.31 enough credits in each transfer curriculum goal area to complete the transfer curriculum
49.32 package.

50.1 **Subd. 3. Open educational resource development.** (a) The Minnesota State Colleges
50.2 and Universities must develop a program to offer a Z-degree at three additional colleges by
50.3 expanding the use of open educational resources, including custom and open textbooks.
50.4 The system office must provide opportunities for faculty to identify, review, adapt, author,
50.5 and adopt open educational resources. The system office must develop incentives to academic
50.6 departments to identify, review, adapt, author, or adopt open educational resources within
50.7 their academic programs.

50.8 (b) The programs and incentives developed under this subdivision must be implemented
50.9 pursuant to faculty collective bargaining agreements.

50.10 **Subd. 4. Report.** The Board of Trustees of the Minnesota State Colleges and Universities
50.11 must submit reports by January 13, 2021, and January 12, 2022, to the chairs and ranking
50.12 minority members of the legislative committees with jurisdiction over higher education.
50.13 Each report must include (1) the number of courses transitioned to using an open textbook
50.14 resulting from the programs in this section, and (2) the total amount of student textbook
50.15 savings resulting from the transitions.

50.16 Sec. 40. Minnesota Statutes 2018, section 136F.38, is amended to read:

50.17 **136F.38 WORKFORCE DEVELOPMENT SCHOLARSHIPS.**

50.18 Subdivision 1. **Program established.** The board shall develop a scholarship program
50.19 to incentivize new students and students returning from the workforce to enter high-demand
50.20 occupations upon graduation.

50.21 Subd. 2. **Scholarship awards.** The program shall award scholarships at the beginning
50.22 of an academic term, in the amount of \$2,500, to be distributed evenly between two terms.

50.23 Subd. 3. **Program eligibility.** (a) Scholarships shall be awarded only to a student eligible
50.24 for resident tuition, as defined in section 135A.043, who is enrolled in any of the following
50.25 programs of study or certification: (1) advanced manufacturing; (2) agriculture; (3) health
50.26 care services; ~~or~~ (4) information technology; (5) early childhood; or (6) transportation.

50.27 (b) The student must be enrolled for at least nine credits ~~at a two-year college~~ in the
50.28 Minnesota State Colleges and Universities system.

50.29 Subd. 4. **Renewal; cap.** A student who has received a scholarship may apply again but
50.30 total lifetime awards are not to exceed ~~\$5,000~~ \$7,500 per student. Students may only be
50.31 awarded a second scholarship upon completion of two academic terms. Students may be
50.32 awarded a third scholarship if the student transfers to a corresponding program at a Minnesota
50.33 state university.

51.1 Subd. 5. **Administration.** (a) The board shall establish an application process and other
51.2 guidelines for implementing this program.

51.3 (b) The board shall give preference to students in financial need.

51.4 Subd. 5a. **Local business partnerships.** Beginning in 2020, and each year thereafter,
51.5 the board shall withhold ten percent of the appropriation. The withheld funds must be
51.6 distributed in the following year to institutions that successfully leverage private matching
51.7 funds from local businesses, resulting in additional scholarships by partnering with the local
51.8 business community.

51.9 Subd. 6. **Report required.** The board must submit an annual report by February 1 of
51.10 each year about the scholarship awards to the chairs and ranking minority members of the
51.11 senate and house of representatives committees with jurisdiction over higher education
51.12 finance and policy. The first report is due no later than February 1, 2019. The annual report
51.13 shall describe the following:

51.14 (1) the number of students receiving a scholarship at each two-year college and each
51.15 university during the previous fiscal year;

51.16 (2) the number of scholarships awarded for each program of study or certification
51.17 described in subdivision 3, paragraph (a);

51.18 (3) the number of scholarship recipients who completed a program of study or certification
51.19 described in subdivision 3, paragraph (a);

51.20 (4) the number of scholarship recipients who secured employment by their graduation
51.21 date and those who secured employment within three months of their graduation date;

51.22 (5) a list of the institutions that received funding under subdivision 5a, the amount of
51.23 funding each institution received, and whether all withheld funds were distributed;

51.24 (6) a list of occupations scholarship recipients are entering; and

51.25 ~~(6)~~ (7) the number of students who were denied a scholarship.

51.26 Sec. 41. Laws 2017, chapter 89, article 1, section 2, subdivision 29, is amended to read:

51.27	Subd. 29. Emergency Assistance for	175,000	175,000
51.28	Postsecondary Students		

51.29 (a) This appropriation is for the Office of
51.30 Higher Education to allocate grant funds on a
51.31 matching basis to ~~schools~~ eligible institutions
51.32 as defined under Minnesota Statutes, section

52.1 136A.103, located in Minnesota with a
52.2 demonstrable homeless student population.

52.3 (b) This appropriation shall be used to meet
52.4 immediate student needs that could result in
52.5 a student not completing the term or their
52.6 program including, but not limited to,
52.7 emergency housing, food, and transportation.

52.8 ~~Emergency assistance does not impact the~~
52.9 ~~amount of state financial aid received.~~

52.10 Institutions shall minimize any negative
52.11 impact on student financial aid resulting from
52.12 the receipt of emergency funds.

52.13 (c) The commissioner shall determine the
52.14 application process and the grant amounts.
52.15 Any balance in the first year does not cancel
52.16 but shall be available in the second year. The
52.17 Office of Higher Education shall partner with
52.18 interested postsecondary institutions, other
52.19 state agencies, and student groups to establish
52.20 the programs.

52.21 **EFFECTIVE DATE.** This section is effective the day following final enactment.

52.22 Sec. 42. **COLLEGE SAVINGS PLAN MATCHING GRANTS.**

52.23 Notwithstanding Minnesota Statutes, sections 136G.05, subdivision 5, 136G.09,
52.24 subdivisions 10 and 12, 136G.11, and 136G.13, subdivisions 2, 3, and 4, through June 30,
52.25 2021, the commissioner of the Office of Higher Education may resolve matching grant
52.26 issues that occurred after January 1, 2013. The commissioner shall limit the authority under
52.27 this section to assisting account owners or successors who were negatively impacted by
52.28 issues related to the matching grant.

52.29 **EFFECTIVE DATE.** This section is effective the day following final enactment and
52.30 expires June 30, 2021.

53.1 Sec. 43. **STUDY AND JUSTIFICATION FOR THE TUITION DIFFERENTIAL**
53.2 **OR ADDITIONAL FEES FOR ONLINE COURSES.**

53.3 The Board of Trustees of the Minnesota State Colleges and Universities shall, and the
53.4 Board of Regents of the University of Minnesota is requested to, each provide a report by
53.5 January 15, 2020, to the members of the legislative committees with jurisdiction over higher
53.6 education issues related to the tuition differential for online courses and additional online
53.7 course fees. The report must include both a detailed analysis of onetime investments that
53.8 have been made in order to provide online courses and a detailed analysis of ongoing costs,
53.9 compared to the investments and costs associated with in-person courses, including physical
53.10 campus infrastructure and classroom space, and other costs associated with providing an
53.11 in-person course on the campus of the institution. The report must provide a plan to achieve
53.12 parity related to the amount charged for online courses and comparable in-person courses
53.13 by the 2021-2022 academic year. If the institution determines that parity cannot be achieved,
53.14 the report must provide justification for the difference in cost.

53.15 Sec. 44. **MINNESOTA STATE COLLEGES AND UNIVERSITIES AND**
53.16 **UNIVERSITY OF MINNESOTA ADMINISTRATIVE COST REPORTS.**

53.17 The Board of Trustees of the Minnesota State Colleges and Universities shall provide
53.18 a report to the chairs and ranking minority members of the legislative committees with
53.19 jurisdiction over higher education by July 1, 2021, detailing how the Minnesota State
53.20 Colleges and Universities define, categorize, and account for administrative costs. The
53.21 report must further identify measures taken to use innovation and cost efficiencies to lower
53.22 administrative costs. The Board of Regents of the University of Minnesota is requested to
53.23 provide a similar report by July 1, 2021.

53.24 Sec. 45. **REPEALER.**

53.25 Minnesota Statutes 2018, sections 136A.15, subdivisions 2 and 7; and 136A.1701,
53.26 subdivision 12, are repealed.

APPENDIX
Repealed Minnesota Statutes: S2415-4

136A.15 DEFINITIONS.

Subd. 2. **Academic year or its equivalent.** "Academic year or its equivalent" shall be as defined in the federal regulations which govern the administration of the National Vocational Student Loan Insurance Act of 1965 and title IV of the Higher Education Act of 1965.

Subd. 7. **Eligible lender.** "Eligible lender" means an eligible institution, an agency or instrumentality of a state, or a financial or credit institution (including an insurance company) which is subject to examination and supervision by an agency of the state of Minnesota or of the United States.

136A.1701 SUPPLEMENTAL AND ADDITIONAL LOANS.

Subd. 12. **Eligible student.** "Eligible student" means a student who is a Minnesota resident who is enrolled or accepted for enrollment at an eligible institution in Minnesota or in another state or province. Non-Minnesota residents are eligible students if they are enrolled or accepted for enrollment in a minimum of one course of at least 30 days in length during the academic year that requires physical attendance at an eligible institution located in Minnesota. Non-Minnesota resident students enrolled exclusively during the academic year in correspondence courses or courses offered over the Internet are not eligible students. Non-Minnesota resident students not physically attending classes in Minnesota due to enrollment in a study abroad program for 12 months or less are eligible students. Non-Minnesota residents enrolled in study abroad programs exceeding 12 months are not eligible students. For purposes of this section, an "eligible student" must also meet the eligibility requirements of section 136A.15, subdivision 8.